of the debt in the sense that to unlock their SNX collateral they need to return the total USD value of their debt. The global debt of all Synths is thus shared collectively by the Synth holders based on the USD-denominated percentage of the debt they owned when they opened their positions. The total outstanding USD-denominated debt changes when any Synth's price fluctuates, and each holder remains responsible for the same percentage they were responsible for when they minted their Synths. Therefore, when a SNX holder's Synths outperform the collective pool, the holder effectively profits, and vice versa, because their asset value (their Synth position) outpaced the growth of the debt (sum of all sUSD debt).

As an example, three traders each have $20,000 for a total debt of $60,000: one holds 2 sBTC priced at $10,000 each, one holds 100 sETH priced at $200 each, and one holds 20,000 sUSD priced at $1 each. Each has a debt proportion of 33.3 percent. If the price of BTC doubles to $20,000 and the price of ETH spikes to $1,000, the total debt becomes $160,000 = $40,000 (sBTC) + $100,000 (sETH) + $20,000 (sUSD).[33] Because each trader is responsible for 33.3 percent, about $53,300, only the sETH holder is profitable even though the price of BTC doubled. If the price of BTC falls to $5,000 and ETH to $100, then the total debt falls to $40,000 and the sUSD holder becomes the only profiting trader. Figure 6.11 details this example.

The platform has a native DEX that will exchange any two Synths at the rate quoted by the oracle. Traders pay the exchange fees to a fee pool redeemable by SNX holders in